

The
D U C H E S S
Alcohol-Free Drinks

Investment Proposal

(Confidential)

OPPORTUNITY TO INVEST ALONGSIDE ZX & AB INBEV IN THE FAST GROWING ADULT DRINKS CATEGORY

- The Duchess is a pioneering alcohol-free, adult drinks business in South Africa.
- Following early success by The Duchess in South Africa, AB InBev's venture capital arm, **ZX Ventures**, invested **\$1.5m** into The Duchess in **2019**.¹
- Subsequent to this investment, The Duchess has seen **110% growth** in revenue.²
- In order to fund the growth into **new territories** and to **supply the SAB platform**, The Duchess is offering **20% of new ordinary shares** for a **\$1.5M** investment into the business.³
- This investment represents an extra-ordinary opportunity to **join The Duchess success story** and to **partner with ZX and AB InBev** in the fast-growing alcohol-free drinks space, globally.
- The **No & Low category** is projected to **grow by 7.6% CAGR** per year to **\$43 billion** in size globally, by **2025**.

1. Investment Concluded October 2019.

2. Financial year to end February; Growth is based on FY2020 vs FY2021

3. Distribution agreement is currently being concluded



REFRESH *your* MIND



THE DUCHESS AIMS TO BE THE GO TO NON-ALCOHOLIC ADULT DRINK FOR FEMALE CONSUMERS

“At The Duchess, most of our customers are female and we embrace this fully in our brand positioning. We offer innovative alcohol-free beverages for the contemporary woman.”

– Talita Calitz - Global Marketing Manager



74%

TARGET MARKET

74% of The Duchess consumer is female, with the most engaged users aged 18-34 years



84%

#SOBERCURIOUS EXPLODES

Since last year, this social media hashtag has had an 86% positivity association, 38 mentions per hour and a 387% increase in posts.

- 194,439 posts in the past 12 months
- 84% female voice
- 66% between 25-44 years old

– Mintel



80%

SPENDING POWER

80% of women say they are the primary grocery shopper in the household.

– Nielsen



THE DUCHESS GROWTH TRAJECTORY & SUCCESSES KEEP FLOWING

2016



*The World's First
Alcohol-Free Gin &
Tonic, is launched
in Cape Town*

2017



*The Duchess sells
1 million units in
the first year*

New listings include:



2018



*New SKU launch:
The Duchess Floral*

*RSA Target Universe
Grows to 1500 clients*

*The Duchess wins
Two Awards at
Innobev Awards 2018*

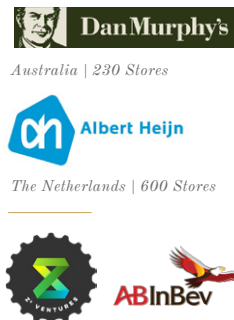


2019



*New SKU launch:
The Duchess Greenery*

New listings include:



*ZX Ventures (AB InBev)
invests \$1.5m*

2020



*New Range Launch:
The Duchess Alcohol-Free
Wine Spritzers*

New listings include:



*The Duchess launches its
first SAB collaboration:
The Brew & Botanical
Alcohol-Free Party Pack*



2021



*We list with 490 JUMBO
stores, 205 Plus stores
and 60 Coop stores
(The Netherlands)*



*Sales & Distribution
integration with AB InBev
South Africa and access to
50 000 active accounts.¹*

*Over 6 Million units sold
across 5 territories since
launch.*



¹. Distribution agreement is currently being concluded

THE DUCHESS UTILISES A LEAN & SCALABLE OPERATIONS STRUCTURE



SUPPLIERS

All raw materials are procured from suppliers and delivered to co-packer.



PRODUCTION

The Duchess range is produced by our co-packer Chill Beverages, in Stellenbosch.



DISTRIBUTION

AB InBev will manage the national logistics, sales, distribution, rebates & merchandising to clients nationwide at the trade price.*

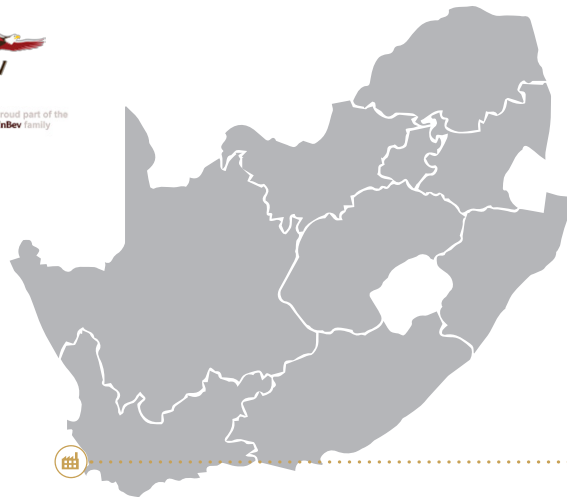
* Under the Master Distribution Agreement as of August 2021



EXPORT

The Duchess exports its range to Australia, The Netherlands, Belgium & the UK, ex Works Cape Town.

South Africa



The Netherlands



Belgium



Australia



ZX VENTURES IS THE DUCHESS' ANCHOR SHAREHOLDER WITH 25%

ZX Ventures is the global growth and innovation group of Anheuser-Busch InBev, the leading global brewer. They empower entrepreneurs to unlock exponential growth by investing ahead of the curve: seeding, launching, and scaling new products that deliver exceptional consumer experiences and bring (more) people together. They do this by partnering with devoted founders and providing access to AB InBev's vast network of subject matter experts, unparalleled supply chain capabilities, route-to-market expertise, marketing properties and partnerships to supercharge growth.

ZXV is a proud 25% shareholder in The Duchess and has supported the engagement with AB InBev to secure the South African route-to-market contract which is expected to commence in August 2021. ZX Ventures has observer rights on The Duchess board and the core, day-to-day team consisting of Jerome, Dan and Ben have regular contact with The Duchess' team to provide insights and support. The ZXV team are available to discuss their views and aspirations for The Duchess with potential investors. Over time ZXV seeks to unlock value in the brands through access to the full AB InBev global distribution network.

Advisors:



JEROME PELLAUD
*General Partner ZX Ventures
Europe & Africa*



BENJAMIN COX
*Investment Principle
ZX Ventures*



ANA HENRIQUES
*Global Vice President
- Non-Alc Drinks AB InBev*



DANIEL OBASEKI
*Investment Partner
ZX Ventures*

AB INBEV IS A FORMIDABLE TRADE PARTNER OFFERING UNRIVALLED ROUTE TO MARKET

Anheuser-Busch InBev is the world's largest brewer with over 630 beer brands in 150 countries. Their diverse portfolio of brands includes global brands such as Budweiser, Corona and Stella Artois; multi-country brands Beck's, Castle, Castle Light, Leffe and Hoegaarden. AB InBev acquired SABMiller in 2016 and as a result, became the largest beverage player in South Africa with

unrivalled access to the consumer. AB InBev has set a target for non-alcoholic and low ABV beverages to make up one fifth of its global production by 2025. Currently, low ABV and alcohol-free make up around 10% of overall volumes.¹ We expect the sales & distribution support in South Africa will grow The Duchess market share in the alcohol-free category by increasing value in the following manner:



*Active
Sales Team
of 450
in trade.*



*Active
Merchandising
Team of 5000
in trade.*



*Distribution
Reach of 55 000
ActiveAccounts.*



*Saving on rebates
with key accounts,
streamlined logistics &
shared distribution.*

1. Source: www.thedrinksbusiness.com

THE DUCHESS WILL CONTINUE ITS EXPANSION
INTO KEY ALCOHOL-FREE DRINKS MARKETS INCLUDING
THE UNITED KINGDOM & CALIFORNIA



The most advanced alcohol-free drinks market in the world with wide consumer adoption and leading beverage brand innovation.

*The Duchess is **already showing great traction** in the market via our **branded Amazon store**. A key market to establish category leadership.*

Sainsbury's **TESCO**

Waitrose **FORTNUM
& MASON**
EST 1707



*Research shows that the state of California is set to be one of the **biggest alcohol-free drinks markets**, but alcohol-free innovation and supply is lagging behind the demand.*

*The Duchess is gearing up for a **California launch of our canned alcohol-free Wine Spritzer range in 2022**, with a mission to become America's **Nr 1 selling alcohol-free wine brand**.*

WHOLEFOODS
MARKET

BevMo!

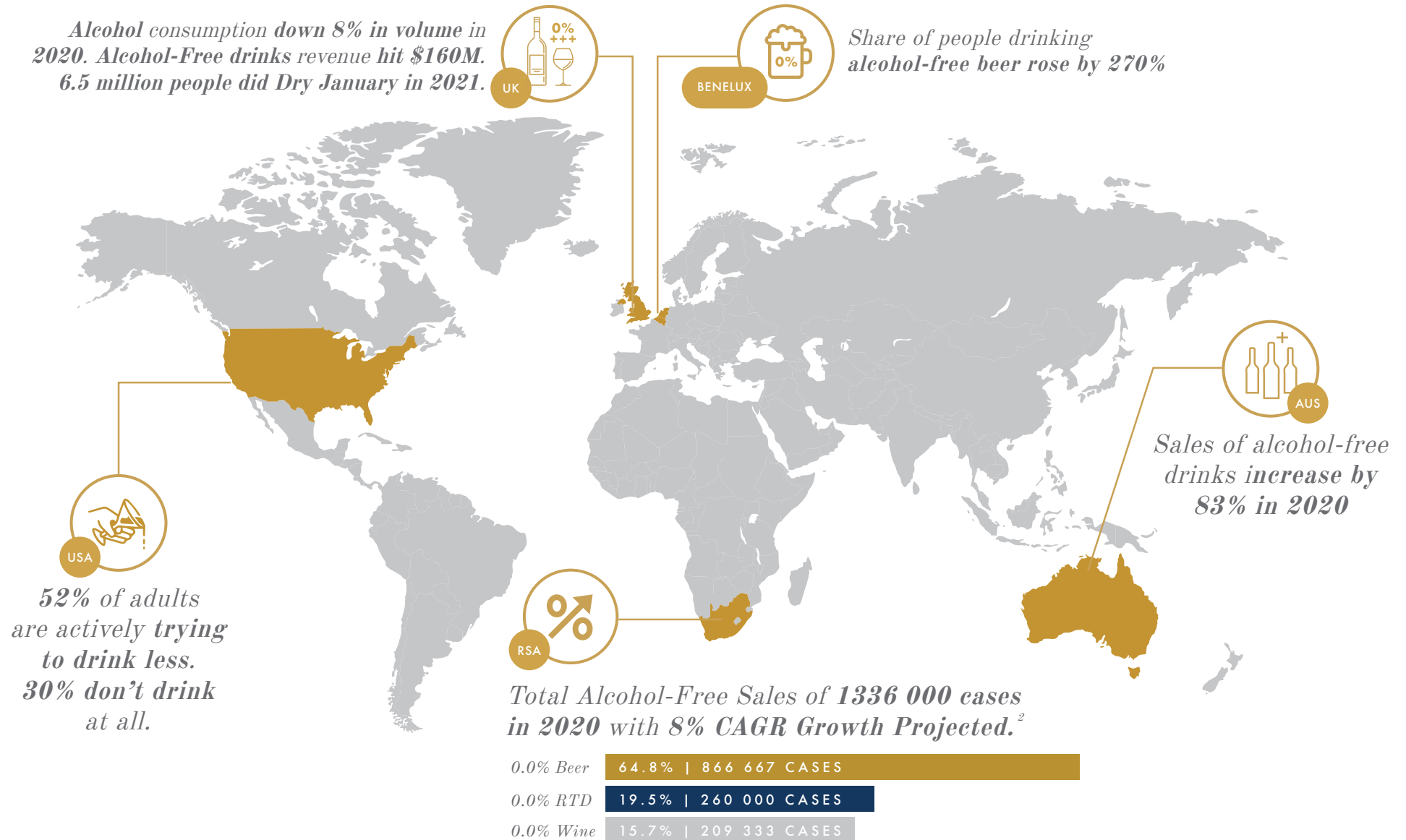
TRADER JOE'S

TARGET®

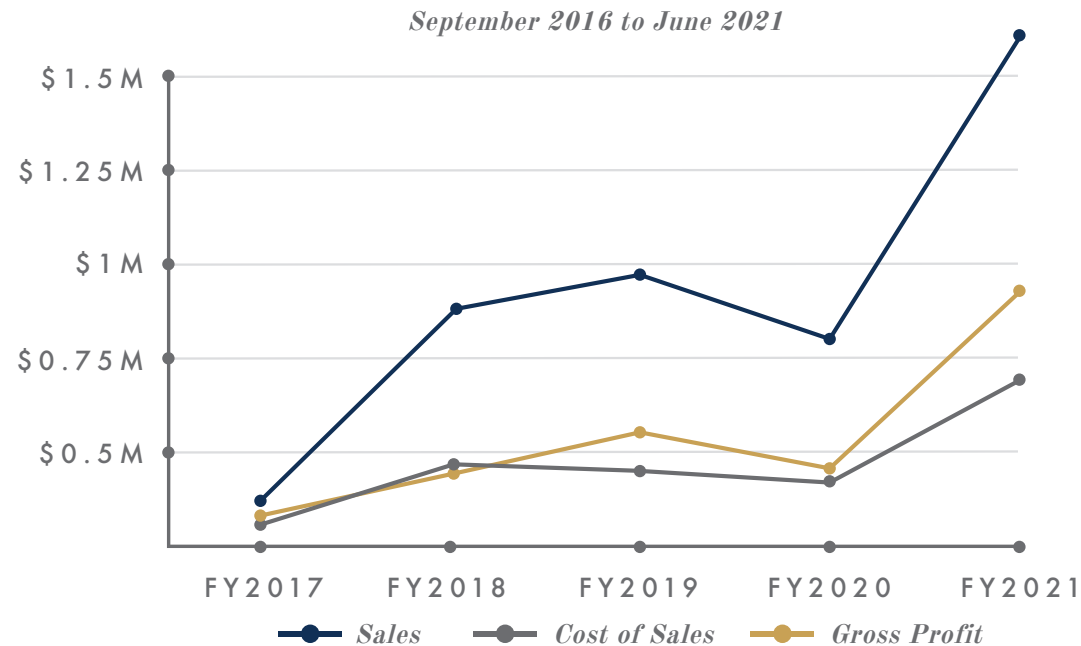
THE DUCHESS 250ML CAN RANGE



THE GLOBAL ALCOHOL-FREE BEVERAGE CATEGORY REPRESENTS A FAST GROWING SEGMENT



THE DUCHESS HAS ACHIEVED MULTINATIONAL PROOF
OF TRACTION WITH AN AVERAGE ANNUAL SALES
GROWTH OF OVER 80% YEAR ON YEAR



SALES INCOME
\$4.9 Million



COST OF SALES
\$2.2 Million

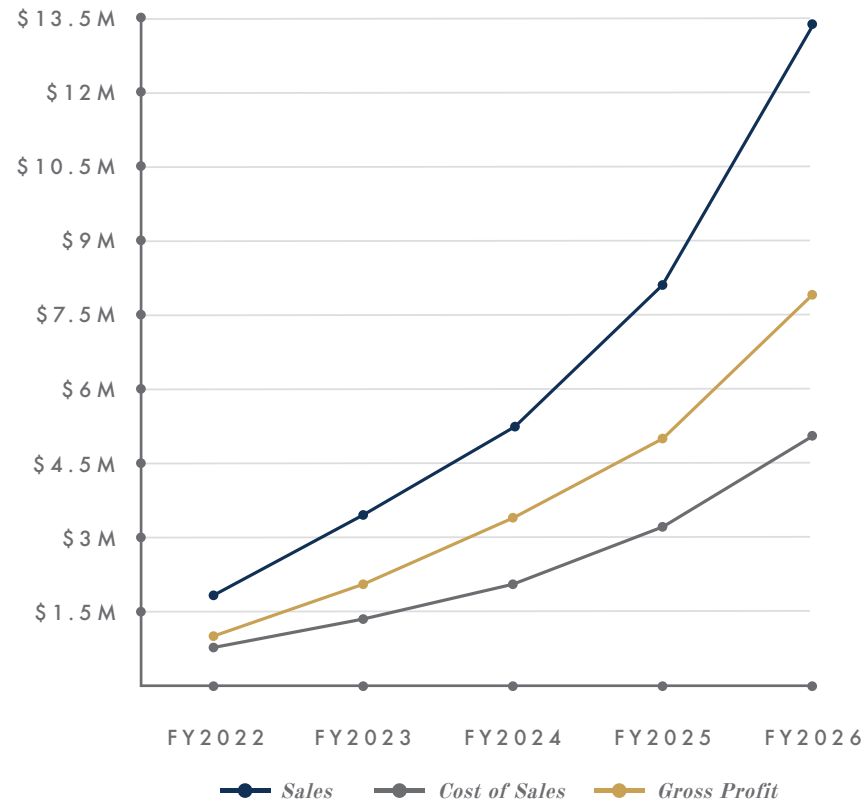


GROSS PROFIT
\$2.7 Million
(55%)

The sole long term liabilities of The Duchess are shareholder loans amounting to R10m.

THE DUCHESS SEEKS TO COMBINE ITS STRONG
TRACK RECORD OF GROWTH WITH EFFECTIVE COST
MANAGEMENT TO DELIVER PROFITABILITY BY 2023

Forecast FY2022 - FY2026



PROFIT & LOSS	Mar 2021 - Feb 2022	Mar 2022 - Feb 2023	Mar 2023 - Feb 2024	Mar 2024 - Feb 2025	Mar 2025 - Feb 2026
SALES INCOME	\$ 1 840 036	\$ 3 516 810	\$ 5 323 593	\$ 8 329 646	\$13 492 355
COST OF SALES	\$ 794 561	\$ 1 442 691	\$ 1 442 691	\$ 3 147 281	\$ 4 952 308
GROSS PROFIT	\$ 1 045 475	\$ 2 074 119	\$ 2 435 862	\$ 5 182 365	\$ 8 540 048

THE DUCHESS HAS A PASSIONATE IN-HOUSE TEAM WITH A DEPTH OF EXPERIENCE



JOHANNES LE ROUX
Founder & Managing Director

A proven beverage entrepreneur with 8 years of experience in launching & scaling drinks brands around the world. Starting his career in advertising he went on to launch Brannas Draught, which was acquired by KWV. He founded The Duchess Alcohol-Free Drinks in 2016 & has consulted on brands including DOPE CBD Seltzers & Suncamino Rum. His career highlight is when he successfully pitched The Duchess business to Carlos Brito, the CEO of AB InBev, in New York.



INUS SMUTS
Founder & Creative Director

Entrepreneur & Creative Director with more than 8 years of experience in brand building, design, advertising & FMCG. He is commercially focused, backed by deep insight into design and branding. Inus started his career as a graphic designer & has worked with a multitude of brands on their brand positioning & strategy. He founded The Duchess with Johannes in 2016 and is responsible for The Duchess brand & product design.



TANIA LOTTER
Operations Manager

Tania is a dynamic, resourceful and diligent Operations Manager with over 12 years of experience. She joined The Duchess in 2018 and manages all aspects of production, logistics and accounts. Since Tania has joined The Duchess, she has built new systems, and streamlined various aspects of the business to optimise resources and processes. She has a hands-on approach with no task being too big or small.



TALITA CALITZ
Marketing Manager

Brand & Marketing specialist with almost a decade's worth of experience in both local and international FMCG markets. From starting out a career in Journalism, she moved onto Advertising to pursue her creative dreams and worked on brands like Bacardi, Martini, Weylandts and BOS Brands. This lead her to join award-winning ice tea brand, BOS Ice Tea, in 2013 as Global Communications Manager. In 2017 Talita joined The Duchess Drinks Company where she currently heads up global marketing.



LINDI BURGER
National Sales Manager

An experienced Sales Manager with over 9 years experience in the FMCG market and 3 years in Marketing and Events. She has a wealth of knowledge & experience that she has gained during her time as a sales representative and applies her findings to building and maintaining top brands within trade. Lindi joined The Duchess as National Sales Manager in 2019.

WHY INVEST IN THE DUCHESS



A PASSIONATE
TEAM



MARKET-LEADING
SALES &
DISTRIBUTION



BEAUTIFUL,
STRONG &
SCALABLE BRAND



INNOVATIVE
RANGE OF
PRODUCTS



RAPIDLY
GROWING
CATEGORY

Our mission is to build a healthy, profitable & scalable business that would naturally become an acquisition target for global beverage companies.

FOR ACCESS TO MORE INFORMATION ON NEXT STEPS,
MANAGEMENT MEETINGS OR DISCUSSIONS WITH THE
ZX VENTURES TEAM, PLEASE CONTACT:

johannes@theduchess.co.za

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